

The utility of the market-price test in extreme cases is unquestionable. The presence of a stock equity with market value many times as large as the total debt carries a strong assurance of the safety of the bond issue,<sup>3</sup> and conversely, an exceedingly small stock equity at market prices must call the soundness of the bond into serious question. The determination of the market value of the stock equity, and its comparison with the total amount of funded debt, is a well-established feature of bond analysis, and it was formerly included in bond-offering circulars (when the showing made was satisfactory). We recommend that this calculation be made a standard element in the procedure of bond selection, especially for industrial issues; and that minimum requirements under this heading be set up which will serve as a secondary quantitative test of safety.

**Minima for the Stock-Equity Test.** What should be the normal minimum relationship between stock values and funded debt? It is difficult to answer this question satisfactorily from actual experience because of the wide changes in stock prices and the variations in the exhibits of individual companies. A theoretical rule can be established by assuming, somewhat arbitrarily, that railroad and utility stocks should earn about  $1\frac{1}{2}$  times as large a percentage on their price as the interest rate on their bonds; whereas industrial stocks should earn twice as much as the interest rate on their bonds. These assumptions would produce the following arithmetical relationship<sup>4</sup> between the minimum interest coverage on the one hand and the stock-to-bond ratio on the other.

On the next page we present a summarized exhibit of a public utility, a railroad, and an industrial company, as of December 31, 1938, which will support in a general way the relationships suggested above.

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<sup>3</sup> See our discussion of Fox Film Corporation 6% Notes, as of December 1933 in Appendix Note 67.

<sup>4</sup> To place both tests on the same arithmetical basis, the stock-value ratio should really be expressed as the ratio of total capitalization (bonds at par plus stock at market) to bonds. Thus calculated, the minimum "capitalization coverage" required would be, respectively,  $1\frac{1}{2}$ ,  $1\frac{2}{3}$ , and 2. The student may use whichever of the two methods seems more convenient to him; their implications are, of course, identical.